Comcast Corp.

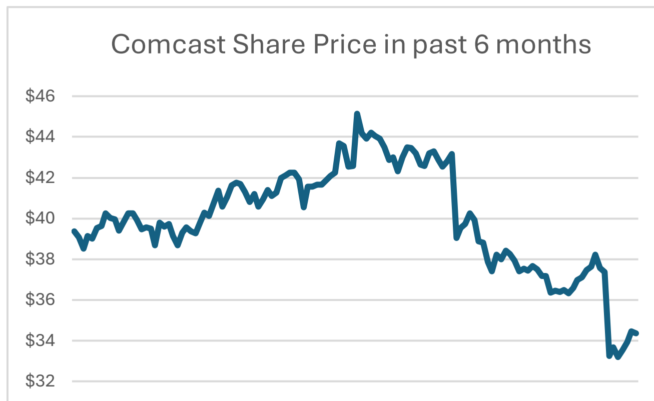
Recommendation & Overview

Ticker Price target	CMCSA **$54.60**
Upside to target	**62%**
Price (07/02/2024)	**$34.37**
52 Week High	$45.31
52 Week Low	$32.50
Market Cap	$132B

My target price of Comcast, a global media and technology company, is $54.60, suggesting a 62% upside. It is Overweight due to which I recommend it a Buy.

It is not only in the telecommunications industry, providing broadband, mobile, and entertainment, but is also has growing in media, streaming, and the theme parks industry. (See Appendix A and B for segment Revenue and EBITDA breakdown). Comcast specialises in selling broadband internet to households, a saturated industry. However, Business Services and Connectivity is a fast growing segment, with huge EBITDA margins (>50%), which will be further boosted by the acquisition of Nitel. The strong margins (>30%) of the Theme Park segment, accompanied by the opening of a new park will increase the business further. Finally, its subscription streaming service, Peacock, is also gaining customers while reducing losses at a rapid pace.

Recently, the stock price fell due to the news of a fall in Comcast's broadband customers. However, as mentioned above, Comcast has been investing in long term strategic growth initiatives to diversify revenue streams and mitigate risks associated with reliance on a single market or service. It continues to find new avenues for growth where it can use its technological prowess and large customer base, and continues to adapt well to constantly changing industry conditions.



Catalysts

1. **Acquisition of Nitel**
The company's Business Services is already growing at 15%. The news of acquiring Nitel received a neutral reaction from the market, which is a fundamental underreaction. Nitel will help expand Comcast's Business' presence in connectivity, global secure networking and advanced technology, and enhance its ability to serve multisite enterprises and midmarket businesses. Comcast can continue growing this segment's revenues at a high rate by reaching new clients, and with high margins of 57% the growth will noticeably impact EBITDA and cash flow. So, when future earnings relating to Nitel release, the market's correction in pricing will lead to realization of my upside.

2. **Divestment of Cable TV**
Comcast is also finding a solution to the segments being a drag on the business. It intends to spin-off some of its cable television networks, including CNBC, MSNBC, Oxygen, and USA Network, into a new publicly traded company. This move will protect its growing studio and theme park businesses from the declining traditional TV market, leading to more focused operations and improved financial performance. The Cable TV industry's PE Ratio is currently 11.94, while theme park industry is 17.33 (Appendix D). After the divestment, Comcast's PE Ratio should be between those values, and closer to the theme park. Even if we take a target PE Ratio of 15, which is below the industry level, it suggests a target price of $62, giving an 81% upside. Thus, the planned divestment will remove inefficiencies in the business, causing the stock to be rerated to a higher multiple with a large potential upside.

3. **Results of long-term strategic investments**
Firstly, the company has invested heavily in its theme park segment, and in 2025 they will be opening a new theme park, the Epic Universe, the most technologically advanced theme park ever. This expansion is expected to drive

significant revenue growth. I believe the current price fails to consider that the high costs today associated with building the theme park will be replaced with revenues, also increasing the segment's EBITDA margins.

Secondly, Comcast's streaming platform, Peacock has been gaining a strong foothold. It has signed an 11 year agreement to stream the NBA and WNBA, and last year it had exclusive broadcasting rights to the Paris Olympics, and also hosted its first-ever exclusive live streamed NFL playoff game. It currently generates $5bn in revenue with paid subscribers increasing by 38%, while it's EBITDA losses improved by $1bn, signalling a strong trajectory towards profitability. At this pace, it will contribute to a strong cashflow, especially as, given the business model, scaling up will lead to economies of scale. It will also provide growth opportunities like increasing advertising, making up for the stagnant revenues in other areas. Given the market's relative neutral reaction to these breakthroughs, as Peacock turns profitable in 2026 (analyst predictions), the market's correction in price will help achieve my upside.

Valuation

Other than the multiples used above in second part of the Catalyst section, a DCF was used to find the target price of CMCSA stock. It was calculated by estimating the revenue growth rate of each of the following 5 segments and their EBITDA margins. The growth and margins for past two years and the industry's projected CAGR were used as benchmarks. The table below shows the growth and margin rationale for each segment:

Segment	Revenue Growth rate	EBITDA margins
Residential Connectivity & Platforms	Continue expected negative trajectory, with further loss of customers in 2025	Price increases and past trends convey slight increasing margins
Businesses Services And Connectivity	Higher growth due to Nitle acquisition, although still rate always maintained at 8% (industry growth rate) or lower	Keeping margins same as historical level due to lack of any reason to believe otherwise
Media	Strong growth rate expected, helped by Peacock although still lower than last year's growth rate and the industry average	Initially lower margins, continuing with previous trends. But, then it rises due to growth in Peacock subscriber base and spin off of cable segments
Studio	Fall in revenue, but at a decreasing rate, as more content production by Comcast expected in the future	Conservative approach by taking average margin of past 3 years, despite an increasing rate
Theme Parks	High initial growth due to opening of new theme park, but then it is reduced to the average industry growth rate	Consistent margins similar to previous years, but on the higher side as until now there were high costs of opening a new theme park

Free cash flow has been estimated using historical FCF to EBITDA ratio, while accounting for future expansion in margins. Revenue has been estimated using mostly conservative growth rates, and yet, upon applying a DCF, we arrive at a target price of $54.60. suggesting a 62% upside, due to which I recommend Comcast a Buy.

Risks and Mitigations

Risks	Mitigations
Large fall in customers requiring Connectivity & Platforms' broadband services	Investment in wireless, whose revenue grew by 15%. Also it has been xontinuously increasing customer experience by eg. increasing their internet speeds by up to 1GB/s
Intense competition with entertainment, sports, news, and information content providers	Striking successful deals for sports and entertainment streaming in 2024 and NBA and WNBA for next 11 years, which should have a chain effect by increasing advertising revenue, and further giving it funds to strike other similar deals
If the interest rates rise back up, then Comcast's high debt could mean higher debt-servicing costs, eroding FCF	Continue on the path of converting most of EBIT to FCF, giving it the cash required to reduce debt if needed

Appendix A

Revenue projections by segment, including assumptions for growth estimation

Year		2022	2023	2024	2025	2026	2027	2028	2029	Assumptions
(All values in USD million)					1	2	3	4	5	
Segments Revenue										
Residential Connectivity and Platforms	**Revenue**	**72,177**	**71,739**	**71,401**	**70,687**	**70,334**	**69,982**	**69,632**	**69,284**	
	Segment Growth		-0.6%	-0.5%	-1.0%	-0.5%	-0.5%	-0.5%	-0.5%	Customer loss to streaming industry
	Industry growth				*8.5%*	*8.5%*	*8.5%*	*8.5%*	*8.5%*	
Business Services and connectivity	**Revenue**	**8,798**	**9,233**	**9,678**	**10,452**	**10,975**	**11,633**	**12,448**	**13,443**	
	Segment Growth		5%	5%	8%	5%	6%	7%	8%	Acquisition of Nitle + capture more share in the industry)
	Industry growth				8%	8%	8%	8%	8%	
Media	**Revenue**	**22,147**	**20,734**	**23,463**	**26,044**	**28,648**	**31,227**	**33,725**	**36,086**	
	Segment Growth		-6%	13%	11%	10%	9%	8%	7%	More competitive advertising + growth in Peacock subscribers
	Industry growth				20%	20%	20%	20%	20%	
Studios	**Revenue**	**8,294**	**8,308**	**7,832**	**7,440**	**7,143**	**6,929**	**6,790**	**6,722**	
	Segment Growth		0%	-6%	-5%	-4%	-3%	-2%	-1%	Decline should stop - as industry comes out of strikes
	Industry growth				6%	6%	6%	6%	6%	
Theme parks	**Revenue**	**7,541**	**8,948**	**8,615**	**9,477**	**10,140**	**10,545**	**10,967**	**11,406**	
	Segment Growth		19%	-4%	10%	7%	4%	4%	4%	
	Industry growth				4%	4%	4%	4%	4%	
Total Revenue		**118,957**	**118,962**	**120,989**	**124,100**	**127,239**	**130,316**	**133,562**	**136,941**	
Total Revenue Growth rate			0.0%	1.7%	2.6%	2.5%	2.4%	2.5%	2.5%	

Appendix B

EBITDA projections by segment, including assumptions for margin estimation + FCF projections

Year		2022	2023	2024	2025	2026	2027	2028	2029	Assumptions
Segments EBITDA										
Residential Connectivity and Platforms	**EBITDA**	**26,111**	**26,948**	**27,338**	**27,568**	**27,782**	**27,993**	**28,201**	**28,406**	
	EBITDA Margin	36.2%	37.6%	38.3%	39.0%	39.5%	40.0%	40.5%	41.0%	3.6% PRICE INCREASE IN 2024 + Optimising costs in existing businesses, including cost-cutting
Business Services and connectivity	**EBITDA**	**5,060**	**5,291**	**5,500**	**5,958**	**6,256**	**6,631**	**7,095**	**7,663**	
	EBITDA Margin	58%	57%	57%	57%	57%	57%	57%	57%	Maintain operation efficiency
Media	**EBITDA**	**3,598**	**2,955**	**3,130**	**2,865**	**3,438**	**4,059**	**4,721**	**5,413**	
	EBITDA Margin	16.2%	14.3%	13.3%	11%	12%	13%	14%	15%	Subscriber base will grow faster than increase in new production cost
Studios	**EBITDA**	**961**	**1,269**	**1,404**	**1,116**	**1,071**	**1,039**	**1,018**	**1,008**	
	EBITDA Margin	11.6%	15.3%	18%	15%	15%	15%	15%	15%	Maintain operation efficiency
Theme parks	**EBITDA**	**2,683**	**3,345**	**2,949**	**3,506**	**3,752**	**3,902**	**4,058**	**4,220**	
	EBITDA Margin	35.6%	37.4%	34%	37%	37%	37%	37%	37%	Due to opening of new
EBITDA		**38,413**	**39,808**	**40,321**	**41,013**	**42,298**	**43,624**	**45,094**	**46,710**	
EBITDA Margin		32%	33%	33%	33%	33%	33%	34%	34%	
Free Cash Flow (FCF)		12,646	12,961	12,500	13,124	13,958	14,832	15,783	16,816	
Ratio of FCF To EBITDA		0.33	0.33	0.31	0.32	0.33	0.34	0.35	0.36	Shift focus to higher margin segments

Appendix C

DCF Calculation

Year	2022	2023	2024	2025	2026	2027	2028	2029	Assumptions
Free Cash Flow (FCF)	12,646	12,961	12,500	13,124	13,958	14,832	15,783	16,816	
Ratio of FCF To EBITDA	0.33	0.33	0.31	0.32	0.33	0.34	0.35	0.36	Shift focus to higher margin segments
Target Share Price using DCF Calculation									
Present Value of FCF				12,242	12,145	12,037	11,948	11,874	
Terminal growth rate (Assumed)			2%						
Perpetuity Growth Terminal Value								329,386	
Present Value of Terminal Value			**232,586**						
Enterprise Value			**292,832**						
Cash			7,322						
Debt			94,186						
Equity Value			**205,968**						
No. of shares (millions)			3,772						
Target Share price (USD)			**$ 54.60**						

Debt	99,093
% Debt	41%
Cost of Debt	4%
Tax Rate	21%
Equity Value	143,609
% Equity	59%
Cost of Equity	10.00%
Risk Free Rate	4%
Beta	1
Market Risk Premium	6%
Debt + Equity	242,702
WACC	**7%**

Appendix D

Since there was no official statistic of the average PE Ratio of companies in the Theme Park industry, I took the average PE Ratio of the 3 top (other than Comcast) companies in this industry to find an estimate of the average PE Ratio.

Company	**PE Ratio**
Disney	20.38
Six Flags Entertainment Corporation	18.33
SeaWorld Entertainment	13.27
Average	17.33